THEMATIC RESEARCH · US-CHINA

48 Hours to the Rare-Earth Deadline: What Revives on 11 November Unless Beijing Signs

Washington and Beijing say their trade truce runs to 10 January 2027. But the legal text that suspends China's October 2025 rare-earth export controls still expires on 10 November, and as of this weekend no Chinese notice has moved that date. On the US side, 178 Section 301 tariff exclusions also lapse on 10 November with no Federal Register notice. This report explains what is legally at stake, what would change for supply chains on Wednesday, what is already in force regardless, and the scenarios for the week.

Global Markets Research · Macro Desk Prepared by ANDRA MARKETS

~0.1%

politics says Jan, law says Nov

Coverage summary. On 28 September a MOFCOM official said the two sides had agreed to extend the Kuala Lumpur arrangement, which suspended certain tariff and non-tariff measures until 10 November 2026, to 10 January 2027. That statement did not mention rare earths, and it is not a legal instrument. The suspension itself sits in MOFCOM Announcement No. 70 of 7 November 2025, which suspends six announcements, Nos. 55 to 58, 61 and 62, until 10 November 2026, in one operative sentence with no extension mechanism. As of this weekend, Rare Earth Exchanges and others report that no numbered notice has amended it. Unless Beijing publishes one, those six announcements, including the rule reaching foreign-made products containing 0.1% or more Chinese rare earths by value, take legal effect on 11 November. Most analysts expect a last-minute extension, but the gap between the political and the legal calendar is the risk companies must document now.

two calendars, one truce

LEGAL EXPIRY	POLITICAL DEADLINE	SECTION 301 EXCLUSIONS	CHINA PROCESSING SHARE
10 Nov	**10 Jan 2027**	**178**	**~90%**
MOFCOM No. 70	*MOFCOM statement, 28 Sep*	*expire 10 Nov, no notice*	*rare earths and magnets*

Exhibit A. What the suspension covers, and what it does not

Instrument	Scope	Status
Announcement No. 18 (April 2025)	licences for seven medium and heavy rare earths: samarium, gadolinium, terbium, dysprosium, lutetium, scandium, yttrium, and magnets containing them	in force; never suspended
Nos. 55-58 (October 2025)	five more rare earths; production equipment and materials; related technologies	suspended to 10 Nov 2026
No. 61 (October 2025)	foreign-made magnets and targets with 0.1%+ Chinese-origin rare earths by value; items made abroad with Chinese technology; re-exports	suspended to 10 Nov 2026; the 0.1% rule has never operated
No. 62 (October 2025)	rare-earth technologies	suspended to 10 Nov 2026
No. 70 (7 Nov 2025)	the suspension instrument itself	expires 10 Nov 2026 unless amended

Sources: MOFCOM announcements as summarised by Nami TS, Carra Globe, MainRich International, SSRN (Yeoman) and Peter's World. Simplified; not legal advice.

1.0 Executive Summary

Seven points

1. A legal gap of two months. The truce was extended politically to 10 January 2027, but neither government has said in writing that the extension covers the rare-earth suspension. The legal text still says 10 November.

2. What revives on Wednesday. If nothing is published, Announcements 55 to 58, 61 and 62 apply from 11 November, including licences for five more rare earths and, for the first time, the 0.1% foreign-content rule. David Yeoman's analysis calls this commencement, not return: the 0.1% rule has never operated.

3. Much is already in force. The April 2025 licensing regime for dysprosium, terbium and five other elements was never suspended. Even a smooth extension leaves China with a licence-by-licence valve over the hardest-to-replace materials.

4. The US has its own gap. 178 Section 301 tariff exclusions expire on 10 November, and the extension announced by the Treasury has not been documented in an executive order or Federal Register notice, according to Thomson Reuters.

5. The base case is an extension. CBA and most analysts expect Beijing to extend the suspension, probably to align with 10 January. China's rare-earth compliance has been about two-thirds of commitments, according to USTR Jamieson Greer.

6. Who is exposed. Defence, auto, robotics and electronics makers that use permanent magnets; US defence contractors also face new domestic sourcing rules for magnets from 1 January 2027.

7. Our reading. A last-minute notice is the most likely outcome, but the episode confirms that rare earths are Beijing's main bargaining chip in a truce that is renewed two months at a time.

2.0 How We Got Here

From Busan to the Washington summit

In October 2025 China expanded its rare-earth export controls, including the 0.1% foreign-content rule, and the US threatened an additional 100% tariff. At Busan on 30 October 2025 Presidents Trump and Xi stepped back: the US cut its fentanyl tariff and suspended its affiliates rule and port fees; China suspended the October controls for a year and committed to buy 25 million tonnes of US soybeans a year in 2026-28. MOFCOM implemented its side with Announcement No. 70 on 7 November 2025, with an end date of 10 November 2026. The September 2026 Trump-Xi summit in Washington produced a two-month extension of the broader arrangement to 10 January 2027, shorter than the six months many had expected, but no new Chinese legal text on rare earths. The US had proposed three to six months.

Exhibit B. Timeline

Date	Event
Apr 2025	China licenses seven rare earths (No. 18), still in force
9 Oct 2025	China announces expanded controls (Nos. 55-58, 61, 62)
30 Oct 2025	Busan truce
7 Nov 2025	MOFCOM No. 70 suspends the October controls to 10 Nov 2026
24 Sep 2026	Trump-Xi summit in Washington
28 Sep 2026	MOFCOM: arrangement extended to 10 Jan 2027 (no rare-earth notice)
10 Nov 2026	legal expiry of No. 70; 178 Section 301 exclusions expire
11 Nov 2026	suspended rules revive unless amended
1 Jan 2027	new US defence sourcing rules for magnets
10 Jan 2027	political end of the truce

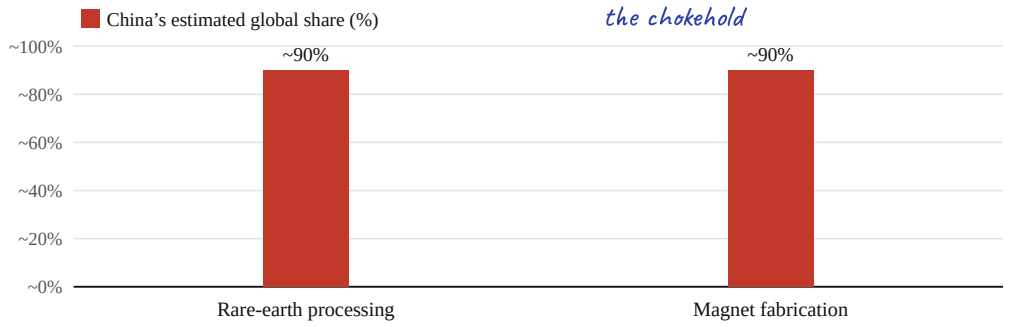
Sources: MOFCOM; Thomson Reuters; FXStreet; CBA; Andra Markets 2026-74.

3.0 What Would Change on 11 November

The 0.1% rule and its reach

The most consequential element is Announcement No. 61. It would require a MOFCOM licence to export, from any country, listed magnets and sputtering targets containing 0.1% or more by value of Chinese-origin rare-earth metals, alloys or dysprosium and terbium oxides, and items made abroad using Chinese rare-earth technology. That reaches deep into global supply chains: a motor assembled in Japan or Germany with Chinese-origin magnet material could need Chinese permission to be exported to the US. Announcements 55 to 58 would add five rare earths to the licensing list and control production equipment and related materials. Licensing is not a ban, but MOFCOM licences can take weeks and give Beijing discretion over who receives them.

Exhibit 1. China's estimated share of global rare-earth processing and magnet fabrication (%)



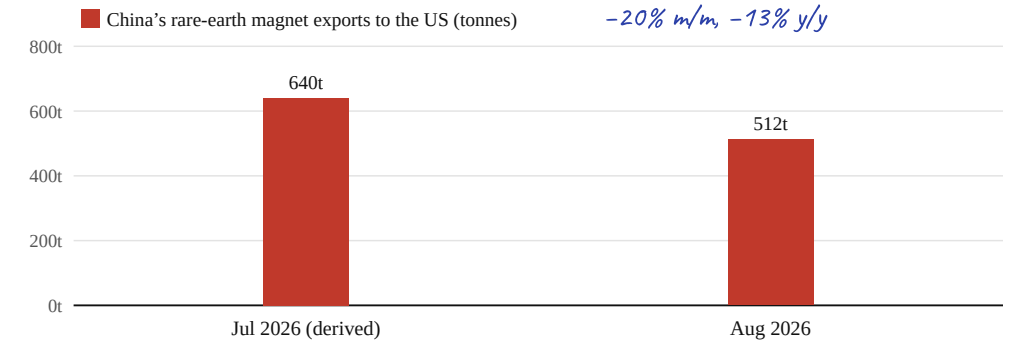
Source: industry estimates cited in Andra Markets 2026-74 and by ChinaFile experts via Rare Earth Exchanges. Approximate.

4.0 The Flows Already Show the Valve

Exports and magnets

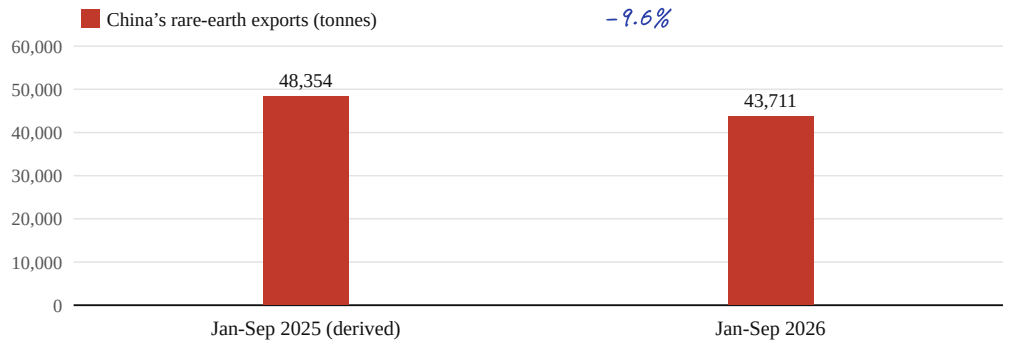
Even with the October rules suspended, China's licensing of heavy rare earths has constrained supply. China's rare-earth exports fell 9.6% to 43,711 tonnes in January-September, and magnet shipments to the US fell to 512 tonnes in August, down 20% from July and 13% from a year earlier, according to Chinese customs data reported by the Financial Times. Rare Earth Exchanges argues that licence approval rates and shipment data are better stress indicators than diplomatic statements, and that the US would need at least three to five years to reach 20% supply-chain resilience.

Exhibit 2. China's rare-earth magnet exports to the US (tonnes)



Source: Chinese customs via the Financial Times (Andra Markets 2026-74); July derived from the reported 20% decline.

Exhibit 3. China's rare-earth exports, January-September (tonnes)



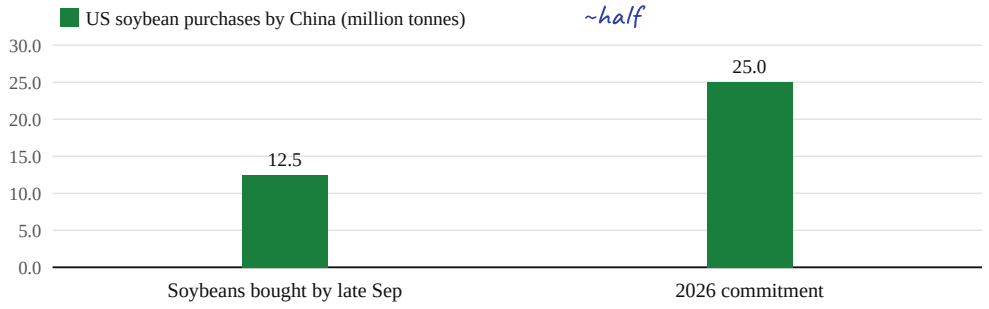
Source: Chinese customs via the Financial Times; 2025 derived from the reported 9.6% decline.

5.0 The Scorecard of the Truce

Delivered, partly delivered, pending

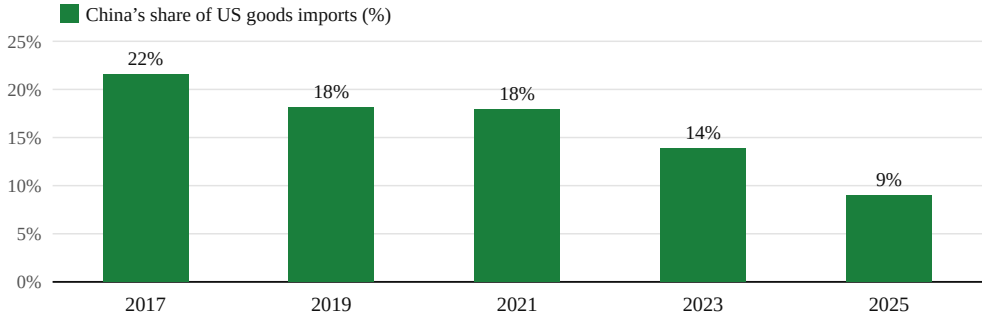
The truce has delivered unevenly. China bought about half of its 25-million-tonne soybean commitment for 2026 by late September. USTR Jamieson Greer has put Chinese compliance on rare-earth commitments at roughly two-thirds, describing supply as satisfactory but not optimal. US tariffs on China average about 24% this year on PIIE estimates, and China's share of US imports has fallen to about 9%. On the US side, the 178 Section 301 exclusions due to expire on 10 November have not been extended in the Federal Register, which matters for importers of the affected products.

Exhibit 4. US soybean purchases by China, 2026 (million tonnes)



Source: Reuters via Andra Markets 2026-74.

Exhibit 5. China's share of US goods imports (%)



Sources: US Census Bureau; CRS; Stanford SCCEI.

6.0 Scenarios for This Week

Notice, silence or escalation

Exhibit C. Andra Markets scenarios

Scenario	What happens	Who feels it
Last-minute notice	MOFCOM amends No. 70 or issues a new suspension to 10 Jan 2027 (or later); US publishes exclusion extensions	relief; focus shifts to January
Silent lapse, soft enforcement	no notice; rules legally revive but licences granted liberally	compliance costs; paperwork for magnet users
Lapse with leverage	rules revive and licensing tightens, possibly tied to chip or tariff disputes	auto, defence, robotics, electronics; rare-earth miners outside China rally

Andra Markets scenarios; most analysts, including CBA, expect an extension. Not legal advice.

Exhibit D. What to watch

Signal	Where
A numbered MOFCOM or MOFCOM/GAC announcement amending No. 70	MOFCOM announcement list
US Federal Register notice on Section 301 exclusions and the affiliates rule	Federal Register, BIS, USTR
Licence approval times and magnet export data	Chinese customs (late Nov)
Rare-earth equity moves outside China	MP Materials, Lynas, Iluka

Andra Markets selection.

reading: the truce is politically extended but legally expiring. a notice is likely; until it appears, the 0.1% rule is two days away

Methodology and Source Notes

Method. This report summarises MOFCOM announcements and statements, US government statements and analysis by Thomson Reuters, CBA, FXStreet, Rare Earth Exchanges, Nami TS, Carra Globe, MainRich International and an SSRN paper by David Yeoman, as available on 8 November 2026. It is not legal or compliance advice. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. MOFCOM; USTR; US Treasury; Thomson Reuters Tax; CommBank (Madison Cartwright); FXStreet; Rare Earth Exchanges; Nami TS; Carra Globe; MainRich International; SSRN (David Yeoman); Peter's World; MINING.COM; Financial Times (as cited); PIIE; US Census Bureau; Andra Markets 2026-74.

Disclaimer

This document is produced by Andra Markets Global Markets Research for informational and educational purposes only. It is not investment, legal, accounting or tax advice, and it is not an offer, solicitation or recommendation to buy, sell or hold any security or financial instrument. Figures are drawn from public sources believed to be reliable but are not independently verified. Views are those of the desk at publication and may change without notice. Past performance is not indicative of future results. Andra Markets accepts no liability for any loss arising from the use of this material.